NEW OWN RESOURCES

FOR A STRONGER EUROPEAN UNION

GLOBAL CITIZEN

Global Redistribution Advocates

637

bn EUR borrowed

The EU responded collectively to the aftermath of the COVID-19 crisis with the NextGenerationEU plan. By raising funds jointly, Member States made it possible to secure more favourable borrowing terms. Working together paved the way for a common European response, strengthening the resilience and unity of the European Union.

Debt service will begin in 2028. The question of how this debt will be repaid will be at the heart of negotiations on the next Multiannual Financial Framework (2028-2034). These two milestones create a critical political window in which the commitment to European cooperation is to be reaffirmed.

2028

Start of servicing

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6 Ideas

for New Own Resources

The European Commission proposed six new own resources in its ORD proposal. We contribute to the forthcoming discussion by presenting genuinely new sources of revenue for the EU budget that are not a reallocation of existing national contributions. The six new own resources we propose will contribute to a fairer and more effective European fiscal framework by making the wealthiest contribute, by taxing documented harm, correcting the fairness of the fiscal framework and making it more efficient to align with the common good.

98 bn
for NORs

Building on the legacy of NextGenerationEU is not only about fiscal solidarity, it is also about carrying forward a common European project. Strong emphasis was put on the green transition and digital transformation, as well as support for future generations and social cohesion. To preserve this legacy, we propose to raise revenues from a reform of aviation taxes, an augmented European VAT on luxury, a one-off levy on millionaire wealth, a tax on financial transactions and a tax on digital services. Our estimations show that these measures would raise 98 bn EUR per year. Each proposal will be summed up below and detailed in following annexes.

One
Deal

Some Member States may consider certain measures to be against their immediate interests, while others may benefit more directly from them. The new own resources we propose are based on Article 311 TFEU. Their adoption requires unanimity, both at Council level and through ratification by every Member State. We present six ideas to help build consensus. They do not constitute a single package, but aim to help identify the right combination of instruments and prepare a deal acceptable to all Member States. With this in mind, both the rates and scope of the selected instruments could vary. Alternative options are also presented for several of the proposed resources.

50%
GNI-contribution share

Member States' GNI contributions still account for the largest share of the EU budget. It acts as an adjustment variable permitting the EU budget to balance. Discussions on the composition of the package must treat the GNI contribution on an equal footing with the other proposals, as one component among others in determining the collectively agreed mix. Of the 98 bn EUR in new own resources, we propose to allocate 24 bn to NGEU interest repayment, 14 bn to expand the EU budget, 30 bn to finance public goods and an EU sovereign fund and 30 bn to reduce GNI-contributions. These updated contributions would be 104 bn EUR and will account for 50% of the EU budget. A table below presents detailed contributions for each Member State for every tax proposition and under our scenarios and the status quo scenario.

Taxing Digital Services

6 bn

From Digital Services Tax

Big digital companies escape Corporate Income Taxes. International cooperation has so far failed to produce a collective response. Taxing 3 % of revenues from the digital sector serves as a temporary measure to capture the untaxed part of profits. Repealed once an international agreement is reached, the instrument signals the EU's position and pushes international partners to return to the negotiating table. France, Italy and Spain have already implemented such a tax, and more Member States plan to legislate on the issue, making the instrument technically prepared and politically ripe.

15%

On digital ads

Online advertising exploits users' cognitive biases in the pursuit of effectiveness, causing documented harms, particularly among young people, from mental health problems to misinformation and radicalisation. Economists, including Nobel laureates Daron Acemoglu and Simon Johnson, propose implementing a 50% excise tax to force a paradigm shift. An initial rate of 15% sends a strong signal, preparing industry players for a gradual increase.

A Moderate Wealth Tax

0.1%

to 0.5%

A moderate tax on the wealth of millionaires would address rising inequality with negligible effects on aggregate demand. The proposed rate goes from 0.1% for wealth above 1 million euros to 0.5% for wealth in excess of 100 million euros. We design it as a *one-off* levy, payable over thirty years, thus avoiding pitfalls that have historically undermined recurrent wealth taxes. Indeed, the tax would be owed based on wealth assessed on 1 January 2028, so it would not deter future investment. The tax can be paid in kind to prevent any liquidity issue.

26 bn

Per year

The tax schedule of our central scenario would raise €26 bn per year. While a wealth tax would require unanimity at the EU Council, it is supported by over 80% of Europeans. Although the tax would offer a new own resource, it is advisable to earmark its revenue for a European sovereign fund. Sized at 5% of EU GDP (twice the NGEU debt), the democratically managed fund would hold a diversified portfolio of equities, steer the ecological transition, and select strategic investments to strengthen Europe's future-preparedness.

A Luxury Excise Tax

20%

Extra rate on luxury goods

Economic analysis shows that luxury goods should be taxed at 42%, that is, a rate 20 percentage points above the current VAT rate. This VAT would apply uniformly to yachts, private jets, luxury cars, artwork, jewelry, luxury watches, bags and apparel, cruises, luxury hotels, fine wines and spirits, fine dining. Simultaneously, non-EU visitors will lose the VAT refund for their purchases of luxury goods in the EU. This tax would require unanimity at the EU Council, but is straightforward to implement since the administration already collects the VAT and categorizes goods.

40 bn

Per year

The tax would raise €40 bn per year, and could even be doubled or tripled since the 20% extra tax is computed using very conservative assumptions. The most affected sectors would be the German car industry, the French and Italian luxury sector, and the Mediterranean luxury tourism. Eastern Europe, Northern Europe, Germany and the Netherlands would contribute less than their GNI share to this extra tax, while a substantial share of the tax burden would fall on non-EU visitors. Countries that contribute a larger-than-average GNI share would benefit from increased revenue of domestic VAT thanks to the coordinated abolition of the VAT refund for non-EU visitors. Luxury goods are partly purchased to signal one's wealth, a motive that would play out with lower resource use if they are priced more. Plus, they confer status, which entails a negative externality onto others. While inequality should in principle be addressed via income taxes, tax competition among EU countries results in insufficient top tax rates. An EU-level tax on luxury goods is a second-best substitute for harder-to-harmonise EU income taxes. Taxing luxury also has the desirable property that it does not reduce philanthropy or investment.

A Financial Transactions Tax (FTT)

0.5%

Rate on equity transfers

The transfer of ownership of shares issued by companies incorporated in the EU would be taxed at 0.5% to fund EU own resources. The scope is deliberately narrow (covering only net transactions and exempting bonds, foreign exchanges and derivatives) to start with the easily implementable instrument. This leaves to later extensions the broader scope that triggered objections by Member States in a previous attempt (and aimed to raise €57 bn). While this tax requires unanimity at the EU Council, it does not cause economic distortions and is highly popular. Indeed, the burden of the tax would fall on (predominantly wealthy) stock owners. Given the exemption of intraday and derivative trading, it should be understood as a revenue-generating tax rather than an externality corrective.

8 bn

Per year

The tax and its rate mimic the UK stamp duty, which has collected steady revenue for over 300 years. It would collect €8 bn per year at the EU level at a low rate on a large and concentrated tax base. France, Italy, Spain, Belgium and Ireland already have similar instruments in place. They could offset the loss of their FTT revenue to the EU budget by either expanding the scope of their national tax or increasing the rate. Two countries stand out as main collectors of the FTT due to hosting companies with the highest market capitalisation: France and the Netherlands. However, taxpayers (the stock owners) are located worldwide.

The tax would reduce trading volume only moderately (by 10–20%). Empirical evidence shows no significant effects on market liquidity or volatility, nor on the cost of capital or the competitiveness of financial centres. A study of the French tax even finds a positive effect on corporate investment, since the tax induces a shift from short-term to longer-term stock ownership.

End the Aviation VAT Exemption

Table 1: Member State's contribution from the proposed new own resources in EUR millions.

Country	A 3% DST	15% Ad tax	0.5% FTT	Wealth tax	Aviation carbon tax	Luxury VAT
Austria	143	330	26	920	185	1,346
Belgium	201	184	61	722	187	1,333
Bulgaria	38	18	.2	40	46	218
Croatia	46	26	.3	36	65	313
Cyprus	16	17	.8	46	49	204
Czechia	178	263	3.8	348	75	626
Denmark	108	258	114	533	192	571
Estonia	23	21	.1	29	15	68
Finland	97	133	81	152	122	394
France	1,084	1,691	3,100	6,670	915	8,432
Germany	978	2,700	1,595	8,344	1,027	7,847
Greece	91	54	23	118	432	857
Hungary	140	113	5.9	208	63	340
Ireland	97	160	241	331	160	517
Italy	467	891	544	2,618	1,209	7,684
Latvia	27	20	0	20	31	68
Lithuania	41	24	.1	31	24	109
Luxembourg	10	32	0	208	36	245
Malta	7	10	0	9	46	122
Netherlands	333	652	1,961	913	337	1,496
Poland	497	427	63	560	202	1,088
Portugal	137	84	25	330	332	870
Romania	135	30	1.9	121	105	435
Slovakia	76	37	0	19	8.5	177
Slovenia	33	14	.4	75	5.1	150
Spain	687	830	241	2,151	1,586	4,202
Sweden	190	601	245	712	197	966
European Union	**5,880**	**9,616**	**8,335**	**26,264**	**7,650**	**40,678**

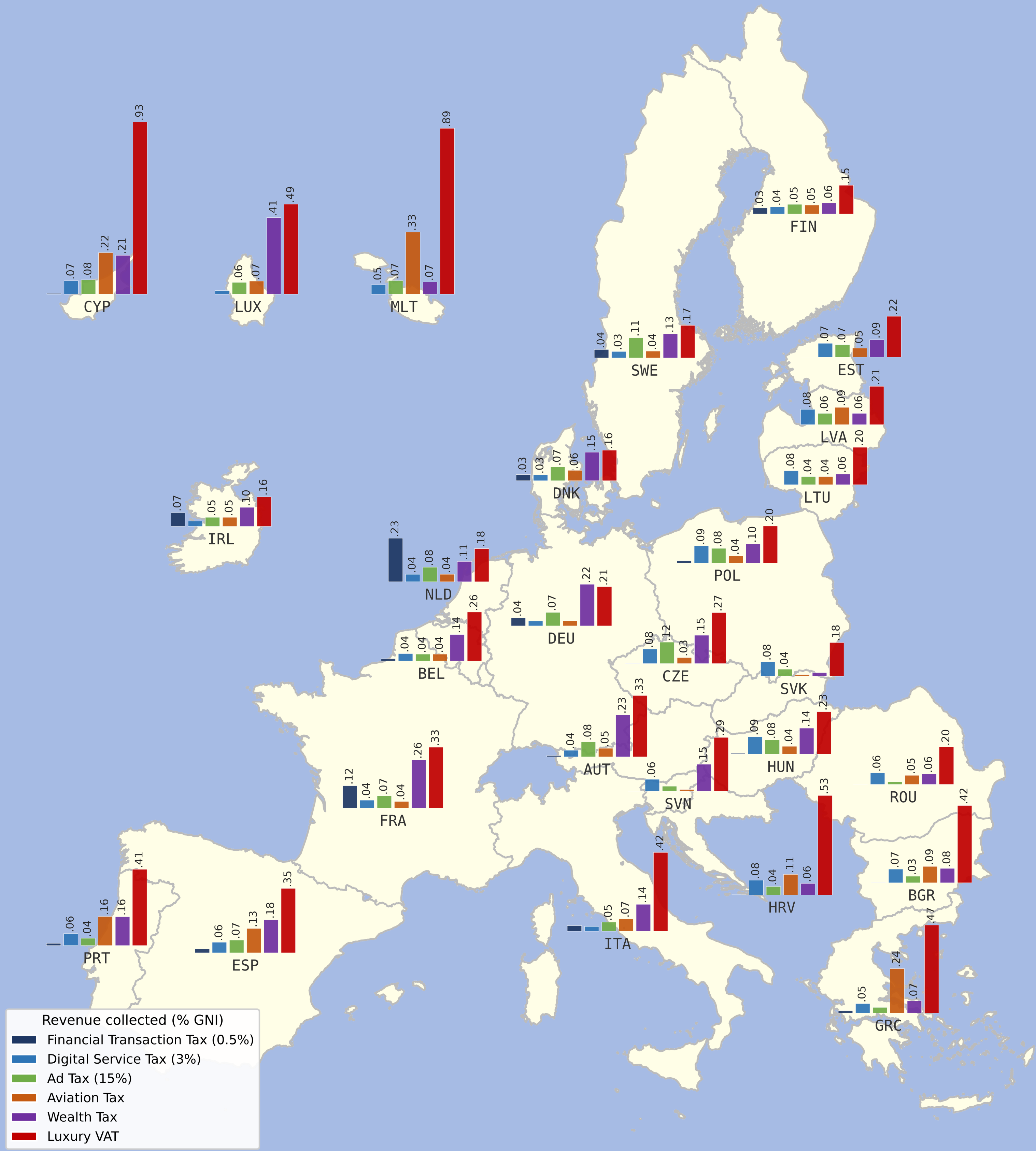
Table 2: Member State's contribution from the proposed new own resources in % of their GNI.

Country	A 3% DST	15% Ad tax	0.5% FTT	Wealth tax	Aviation carbon tax	Luxury VAT
Austria	.035	.081	.006	.226	.045	.33
Belgium	.04	.036	.012	.142	.037	.263
Bulgaria	.073	.034	0	.076	.088	.416
Croatia	.079	.044	.001	.062	.11	.535
Cyprus	.073	.077	.004	.209	.224	.928
Czechia	.078	.116	.002	.153	.033	.275
Denmark	.031	.074	.033	.153	.055	.164
Estonia	.074	.068	0	.094	.05	.22
Finland	.038	.052	.032	.06	.048	.154
France	.042	.066	.12	.259	.036	.327
Germany	.026	.072	.043	.224	.028	.21
Greece	.05	.03	.013	.065	.239	.474
Hungary	.094	.076	.004	.14	.042	.228
Ireland	.03	.049	.075	.102	.049	.16
Italy	.026	.049	.03	.144	.067	.424
Latvia	.082	.06	0	.06	.093	.206
Lithuania	.076	.044	0	.057	.044	.201
Luxembourg	.02	.063	0	.412	.071	.485
Malta	.051	.073	0	.066	.335	.893
Netherlands	.04	.078	.234	.109	.04	.179
Poland	.091	.078	.011	.102	.037	.199
Portugal	.065	.04	.012	.156	.156	.411
Romania	.063	.014	.001	.056	.049	.202
Slovakia	.078	.038	0	.02	.009	.182
Slovenia	.064	.027	.001	.146	.01	.291
Spain	.057	.068	.02	.177	.131	.346
Sweden	.034	.109	.044	.129	.036	.175

Table 3: Decomposition of the own-resources deal by member state

Country	New revenue	Foregone revenues	New Funds	NOR	Domestic budget gain	Relative gain
Austria	2,951	101	1,001	2,850	1,443	2,556
Belgium	2,688	61	877	2,627	1,858	3,305
Bulgaria	360	0	97	360	198	354
Croatia	486	0	126	486	221	395
Cyprus	333	0	96	333	83	149
Czechia	1,493	0	417	1,493	861	1,538
Denmark	1,776	0	510	1,776	1,319	2,355
Estonia	156	0	40	156	117	209
Finland	980	0	223	980	967	1,727
France	21,892	4,184	6,813	17,708	5,561	9,037
Germany	22,491	0	7,622	22,491	14,116	25,212
Greece	1,574	23	356	1,552	662	1,177
Hungary	870	0	238	870	564	1,007
Ireland	1,506	241	371	1,265	983	1,704
Italy	13,413	1,012	4,132	12,402	5,854	10,240
Latvia	166	0	35	166	125	224
Lithuania	229	0	55	229	204	365
Luxembourg	530	0	206	530	191	341
Malta	194	0	46	194	52	93
Netherlands	5,692	0	1,046	5,692	3,169	5,659
Poland	2,837	0	699	2,837	2,074	3,704
Portugal	1,778	0	488	1,778	802	1,432
Romania	828	0	218	828	815	1,456
Slovakia	317	0	70	317	368	658
Slovenia	277	0	95	277	195	348
Spain	9,697	928	2,691	8,770	3,664	6,346
Sweden	2,911	0	749	2,911	2,092	3,736
European Union	**98,422**	**6,550**	**29,318**	**91,873**	**48,559**	**85,327**

Column definitions. (1) New revenues for the EU. (2) Foregone revenues from existing domestic taxes. (3) Revenues allocated to new EU funds. (4) Net new resources: $(1) - (3)$. (5) Domestic budget gain from the deal: reduction in GNI contribution vis-à-vis the status quo, minus foregone revenues. (6) Total relative gain from the deal: previous column plus total expanded budget and funds allocated upon GNI share minus foregone revenues from existing taxes, where s is the country's GNI share.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BGR .07 .03 .09 .08 .42
ITA .05 .07 .14 .42
PRT .06 .04 .16 .16 .41
ESP .06 .07 .13 .18 .35
GRC .05 .24 .07 .47
Revenue collected (% GNI)
Financial Transaction Tax (0.5%)
Digital Service Tax (3%)
Ad Tax (15%)
Aviation Tax
Wealth Tax
Luxury VAT